Travel and Expense Policy

Contoso Ltd. | Version 1.8 | Effective February 1, 2026 | Synthetic sample document for testing

1. Purpose

This policy explains how business travel is approved, booked, and reimbursed at Contoso Ltd. Employees are expected to spend company money responsibly and to choose reasonable, cost-effective options. Questions can be sent to the Finance team at expenses@contoso.example.

2. Travel Approval

All business travel must be approved before any booking is made. Travel approval is separate from leave approval: leave is approved by the line manager through the HR Portal, whereas travel is approved based on total estimated trip cost as shown below.

- **Up to $1,500:** Line manager
- **$1,501 to $5,000:** Department Director
- **More than $5,000:** Vice President (VP)
- **Any international trip:** Department Director, plus VP approval if the cost exceeds $5,000

Approval requests are submitted through the Travel Portal and receive a Travel Approval ID, which must be quoted on the expense report.

3. Booking Travel

- Book through the Contoso Travel Portal at least 14 days before departure whenever possible.
- Economy class is required for flights shorter than 6 hours. Premium economy is allowed for flights of 6 hours or longer. Business class requires VP approval.
- Rail travel is preferred over flying for trips under 300 miles.
- Rental cars must be compact or mid-size unless more than three travelers share the vehicle.
- Personal vehicle use is reimbursed at $0.65 per mile.

4. Hotel Limits

- **Standard cities:** $200 per night
- **High-cost cities (New York, San Francisco, London, Singapore):** $275 per night

Stays longer than 14 consecutive nights require Director approval and should be booked as extended-stay accommodation. Hotel upgrades, minibar charges, and in-room entertainment are not reimbursable.

5. Meal Allowances

While traveling on company business, employees may claim actual meal costs up to the following daily maximums:

- **Breakfast:** $15
- **Lunch:** $20
- **Dinner:** $40
- **Total per day:** $75

Alcohol is never reimbursable. Meals provided by a hotel, conference, or client must not be claimed again. Client entertainment meals require the names and companies of attendees and the business purpose, and are not subject to the daily allowance but need line manager approval.

6. Reimbursement Process

Deadlines

- Expense reports must be submitted within 30 days of the end of the trip. Reports submitted after 60 days will not be reimbursed.
- Approved expenses are paid within 10 business days of approval, directly to the employee's payroll bank account.

Documents required for reimbursement

- A completed expense report in the Expense Portal.
- An itemized receipt for every expense of $25 or more (credit card slips alone are not accepted).
- The Travel Approval ID for the trip.
- The business purpose for each expense.
- For mileage claims: start and end locations and total miles driven.

Expenses under $25 do not require a receipt but must still be listed on the expense report. If a receipt is lost, the employee must submit a Missing Receipt Form signed by their line manager.

7. Non-Reimbursable Expenses

- Alcohol, personal entertainment, and spouse or family travel costs.
- Traffic and parking fines.
- Airline seat upgrades, lounge memberships, and travel insurance not purchased through the Travel Portal.
- Personal items, clothing, and grooming services.

8. Cash Advances and Corporate Cards

Cash advances of up to $500 may be requested for international trips at least 10 business days before departure and must be settled within 15 days of returning. Employees who travel more than 6 times per year may apply for a corporate credit card. Corporate card charges must still be itemized on an expense report within 30 days.

9. Policy Violations

Submitting false or inflated claims is a serious breach of the Employee Handbook code of conduct and may lead to disciplinary action, repayment of funds, and dismissal.